WILLIAMSON TEA KENYA PLC
AUDITED RESULTS FOR THE YEAR ENDED 31ST MARCH 2020

Website: www.williamsontea.com

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2020

	2020 Kshs'000	2019 Kshs'000
Revenue	3,069,106	3,370,871
Loss from operations before tax	(33,515)	(239,109)
Increase in fair value of biological assets	62,552	58,156
Net finance income	60,291	18,251
Share of profit /(loss)of associate company	14,801	(49,713)
Profit/(loss) before taxation	104,129	(212,415)
Tax credit	33,073	40,053
Profit/(loss) for the year	**137,202**	**(172,362)**
Attributable to:		
Equity holders of the company	132,860	(164,412)
Non-controlling interest	4,342	(7,950)
Profit/(loss) for the year	**137,202**	**(172,362)**
Other comprehensive income/(loss)	38,938	(280)
Attributable to:		
Equity holders of the company	38,938	(280)
Non-controlling interest	-	-
Total other comprehensive income/(loss) for the year	**38,938**	**(280)**
Total comprehensive income/(loss) for the year	**176,140**	**(172,642)**
Attributable to:		
Equity holders of the company	171,798	(164,692)
Non-controlling interest	4,342	(7,950)
	176,140	**(172,642)**
Issued shares of Kshs 5 each	17,512,640	17,512,640
Earnings/(loss) per share - Basic and diluted	**7.59**	**(9.39)**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2020

	Share Capital Kshs'000	Revaluation Reserve Kshs'000	Retained earnings: Biological Assets Fair value Kshs'000	Retained earnings: Other Kshs'000	Retained earnings: Total Kshs'000	Equity Attributable to owners of the company Kshs'000	Non-controlling Interest Kshs'000	Total Kshs'000
Balance at 1 April 2018	87,563	1,085,535	1,358,649	4,102,975	5,461,624	6,634,722	212,635	6,847,357
(Loss)/profit for the year	-	-	38,053	(202,465)	(164,412)	(164,412)	(7,950)	(172,362)
Other comprehensive loss		(280)	-	-	-	(280)		(280)
Total comprehensive loss for the year	-	(280)	38,053	(202,465)	(164,412)	(164,692)	(7,950)	(172,642)
Excess depreciation transfer		(78,212)	-	78,212	78,212	-		-
Deferred tax on excess depreciation		23,464		(23,464)	(23,464)	-	-	-
Final dividends declared-2018			-	(350,253)	(350,253)	(350,253)	(7,087)	(357,340)
Balance at 31 March 2019	**87,563**	**1,030,507**	**1,396,702**	**3,605,005**	**5,001,707**	**6,119,777**	**197,598**	**6,317,375**
Balance at 1 April 2019	87,563	1,030,507	1,396,702	3,605,005	5,001,707	6,119,777	197,598	6,317,375
Profit for the year		-	45,200	87,660	132,860	132,860	4,342	137,202
Other comprehensive income		38,938	-	-	-	38,938	-	38,938
Total comprehensive income for the year	-	38,938	45,200	87,660	132,860	171,798	4,342	176,140
Excess depreciation transfer		(44,145)		44,145	44,145	-		-
Deferred tax on excess depreciation		11,037	-	(11,037)	(11,037)	-		-
Final dividends declared-2019	-	-	-	(350,253)	(350,253)	(350,253)	(7,087)	(357,340)
Balance at 31 March 2020	**87,563**	**1,036,337**	**1,441,902**	**3,375,520**	**4,817,422**	**5,941,322**	**194,853**	**6,136,175**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31MARCH 2020

	2020 Kshs'000	2019 Kshs'000
ASSETS		
Non current assets		
Property, plant and equipment	3,865,560	3,672,274
Intangible assets	1,801	1,829
Prepaid operating leases		72,371
Right of use assets	95,033	-
Investments	1,040,827	1,017,977
Biological assets – timber and fuel trees	684,567	699,684
	5,687,788	**5,464,135**
Current assets		
Unharvested green leaf	40,479	21,523
Inventories	865,805	783,034
Trade and other receivables	432,970	366,439
Due from an associate company	18,415	39,486
Corporate tax recoverable	292,430	286,758
Short term bank investment	371,341	872,898
Cash and bank balances	191,342	437,645
	2,212,782	**2,807,783**
Total Assets	**7,900,570**	**8,271,918**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	87,563	87,563
Revaluation surplus	1,036,337	1,030,507
Retained earnings	4,817,422	5,001,707
Equity attributable to owners of the company	5,941,322	6,119,777
Non-controlling interest	194,853	197,598
Shareholders' funds	**6,136,175**	**6,317,375**
Non current liabilities		
Deferred tax liability	876,659	967,735
Service gratuity provision	300,178	291,157
Lease Liabilities	22,325	-
	1,199,162	1,258,892
Current liabilities		
Trade and other payables	556,879	654,510
Lease Liabilities	6,180	
Borrowings		37,380
Due to an associate company	2,174	3,761
	565,233	695,651
Total equity and liabilities	**7,900,570**	**8,271,918**

CONSOLIDATED STATEMENT OF CASHFLOWS
FOR THE YEAR ENDED 31 MARCH 2020

	2020 Kshs'000	2019 Kshs'000
Cash flows from operating activities		
Cash generated from operations	211,195	1,538,909
Interest received	57,757	67,441
Interest paid on borrowings	(2,174)	(5,375)
Taxation paid	(24,759)	(533,759)
	242,019	**1,067,216**
Cash flows from investing activities		
Purchase of property, plant and equipment	(616,817)	(238,217)
Purchase of intangible assets	(959)	(539)
Proceeds from disposal of property, plant and equipment	6,867	7,308
Expenditure on biological assets	(13,204)	(8,113)
Dividends received from - an associate company	30,951	30,951
	(593,162)	**(208,610)**
Cash flows from financing activities		
Payment of lease liabilities	(7,805)	
Asset finance loans repaid	(37,380)	(60,138)
Dividends paid to shareholders	(344,445)	(338,356)
Dividend paid to minority interest	(7,087)	(7,087)
	(396,717)	**(405,581)**
(Decrease)/increase in cash and cash equivalents	(747,860)	453,025
Movement in cash and cash equivalents		
Cash and cash equivalents at start of year	1,310,543	857,518
(Decrease)/increase in cash and cash equivalents	(747,860)	453,025
Cash and cash equivalents at end of year	**562,683**	**1,310,543**

COMMENTARY ON THE RESULTS

The Company reported a profit for the year of 137 Million compared to a loss of 172 Million in 2019. The very large crop volumes experienced at the end of the financial year and the reduced demand pushed the price of tea down as too much supply overtook demand with average prices falling by 12%.

DIVIDEND

The Directors resolved to recommend a final dividend of KShs 20 per share to be paid out of the retained earnings. The recommended final dividend, subject to approval, will accrue to the members on the register at the close of business on 18th August 2020. Thereafter, the register will remain closed from 19th August to 20th August 2020, both days inclusive.

PROSPECTS

The extremely favourable weather conditions since October 2019 and huge increases on the tea supply side in Kenya when placed against a reduction in global demand results in extremely weak markets. Prices are in freefall and we do not anticipate any change to this situation as the year progresses. We shall continue to focus on crop and quality and managing our costs as we await improvement in the market.

ANNUAL GENERAL MEETING

In view of the COVID-19 pandemic, and to be in compliance with the prescribed government and ministry of health safety regulations, the group applied for and was granted leave by the Capital Markets Authority to conduct a virtual annual general meeting.

SUMMARY OF KEY AUDIT MATTER

The auditors' report on the financial statements includes the following key audit matter: Valuation and measurement of biological assets.

BASIS OF PREPARATION OF SUMMARISED CONSOLIDATED FINANCIAL STATEMENTS

The summarised consolidated financial statements have been prepared in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 78th Annual General Meeting of the Shareholders will be held by electronic communication on Thursday 20th August 2020 at 11.00 a.m. for the following purpose: on Thursday 1st August 2019 at 10.00am for the following purpose:

Ordinary Business:

1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2020.
2) To consider and approve a first and final dividend of Sh 20 per share for the year ended 31 March 2020 payable to the shareholders on the Register of Members.
3) To re-elect Directors:
   i) In accordance with Article 108 of the Company's Articles of Association, Mr. James Patrick Brooks retires by rotation and offers himself for re-election.
   ii) In accordance with Article 108 of the Company's Articles of Association, Mr. Edward Charles Magor retires by rotation and offers himself for re-election.
4) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Governance and Audit Committee, be appointed individually to continue to serve as members of the said committee:
   i) Mr.Mathew Koech
   ii) Mr.James Patrick Brooks
   iii) Mr.Edward Charles Magor
5) To approve the remuneration of the Directors
6) To re-appoint Messrs Deloitte & Touche as Auditors of the Company in accordance with the provisions of Section 721 (2) of the Kenyan Companies Act, 2015 and to authorise the Directors to fix the Auditors' remuneration for the ensuing financial year in accordance with the provisions of Section 724 (1) of the Kenyan Companies Act, 2015.
7) **Soecial Business**
   "That, by way of special resolution, Articles 55, 65 and 116 of the Articles of Association of the Company be and are hereby amended to provide for holding of Annual General Meetings, Extraordinary General Meetings and Board Meetings virtually and for voting to be carried by electronic means."
8) To transact such other business as may be brought before the meeting.

G K MASAKI
COMPANY SECRETARY

INDEPENDENT AUDITORS' REPORT ON THE SUMMARISED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF WILLIAMSON TEA KENYA PLC

Opinion

The accompanying summarised consolidated financial statements of Williamson Tea Kenya Plc and its subsidiaries (the "Group"), which comprise the summarised consolidated statement of financial position as at 31 March 2020, the summarised consolidated statement of profit or loss and other comprehensive income, the summarised consolidated statement of changes in equity and the summarised consolidated statement of cash flows for the year then ended, are derived from the audited financial statements of the Group for the year ended 31 March 2020.

In our opinion, the accompanying summarised consolidated financial statements are consistent, in all material respects, with the audited financial statements of the Group, in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 (''the Regulations'') as applicable to summary financial statements.

Summarised consolidated financial Statements

The summarised consolidated financial statements do not contain all the disclosures required by the International Financial Reporting Standards as applicable to annual financial statements. Reading the summarised consolidated financial statements and the auditors' report thereon, therefore, is not a substitute for reading the audited financial statements of the Group and the auditors' report thereon.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated 16th July 2020. That report also includes the communication of a key audit matter related to the valuation and measurement of biological assets. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Directors' responsibility for the summarised consolidated financial statements

The Directors are responsible for the preparation of the summarised consolidated financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 as applicable to summarised financial statements.

Auditors' responsibility

Our responsibility is to express an opinion on whether the summarised consolidated financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P.O Box 40092 – 00100, Nairobi, Kenya

CPA F. Okwiri, Practicing certificate No. 1699 — 16th July 2020
Signing partner responsible for the independent audit

The above extract is based on the Financial Statements of Williamson Tea Kenya PLC Group for the year ended 31 March 2020 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Group's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com